price for its gas. The problem was that Hugoton was managed by an investment firm—The Clarke Estates—which was more interested in liquidating the company than maximizing its potential. Pickens believed that more aggressive management could sweat the underexploited assets harder than Hugoton's management. Pickens invited Hugoton's president, Mike Nicolais, for lunch, where he broached the merger. Nicolais played coy at lunch, and called back a week later to squash Mesa's offer. Pickens wasn't so easily dissuaded. Even though Hugoton was much bigger than Mesa and Mesa lacked the resources to take over Hugoton for cash, Pickens saw that Mesa's stock might be attractive to Hugoton shareholders. Mesa offered one share of a newly created preferred stock for each share of Hugoton common. The Mesa preferred stock would convert to 1.8 shares of Mesa after five years, and in the meantime would pay a $2.50 dividend, 50 cents higher than Hugoton's $2 dividend. Pickens planned to use the Hugoton dividend to fund most of the dividend paid by the Mesa preferred stock, with Mesa making up the difference. Pickens gambled that improved gas contracts and sales would mean that Mesa wouldn't have to pay the preferred dividend for long because most preferred stockholders would convert into Mesa common when the stock price went up. Mesa filed the complicated exchange offer in late September, and by mid-October had accumulated 17 percent of Hugoton's common, not enough to exercise control, but enough to be "nettlesome," as Pickens described it. Hugoton management got the message, and in late October announced a merger with a white knight from Los Angeles, Reserve Oil & Gas.

The Hugoton bylaws had a provision that required two-thirds of stockholders to approve a merger. With 17 percent of the stock, Mesa needed another 17 percent to get to the 34 percent threshold at which it could be assured that it could block Reserve's merger plans. Pickens hit the road, making Mesa's case to Hugoton's shareholders that it was the better merger partner. By the time the tender offer ended, Mesa controlled 28 percent of Hugoton. Pickens had a problem. Mesa could borrow to buy more Hugoton stock, but couldn't afford to carry the debt for very long. He contacted Nicolais and told him that he was thinking about reopening the tender offer. Nicolais responded, "I wish you would do that."[10] He asked Pickens for time to think, and then called him back, saying, "Come to New York. We're ready to talk terms."[11] Nicolais pushed Pickens to raise the offer—from 1.8 shares of Mesa common to 1.875—and Pickens "horse-traded" the preferred dividend down to $2.20 from $2.50 per share. In April 1969, Mesa and Hugoton merged, and Mesa survived. The deal was a watershed for Pickens. It vaulted Mesa into the big league, giving it the assets and balance sheet to expand and giving Pickens much-needed deal experience. It was a harbinger of things to come, as Pickens resolved to make acquisitions a key part of Mesa's growth strategy.